Morning Briefing

Tuesday, 16 June 2026 • Generated approx. 06:45 BST (London) • Pre-European open • Dominant theme: **US-Iran peace deal + FOMC Day 1 (Warsh)**

2. IMPORTANT NEWS

US-Iran peace deal announced (June 15) — Trump declared an initial agreement ending the Iran war. Deal includes lifting the US naval blockade and Iran's commitment to reopen the Strait of Hormuz within 30 days. — NPR, Bloomberg (Jun 15 2026)
Why it matters: The 2026 Hormuz blockade was the largest oil supply disruption in market history (10-11 mbd shut-in). Deal is strongly disinflationary and triggers a broad risk-on rotation — oil collapses, bonds rally, equities surge, credit tightens.

Kevin Warsh opens first FOMC meeting as Fed Chair (June 16-17) — Two-day meeting begins today. Rate hold at 3.50-3.75% expected (97.4% CME probability). Key question: does Warsh drop the easing bias? Decision and press conference tomorrow (June 17). — FXStreet, Kiplinger, IndexBox (Jun 15 2026)
Why it matters: Markets price 80% chance of a hike by year-end. Warsh's communication style and any shift in policy language will reset expectations for H2 2026 rates across all asset classes.

SpaceX (SPCX) extends post-IPO rally — Listed June 12 on Nasdaq at $135/share, raising a record $75bn at a $1.75tn valuation. Demand was 3.5x oversubscribed. Stock extended gains Monday alongside broader tech rally. — NPR (Jun 12 2026), Yahoo Finance
Why it matters: Largest IPO in history surpasses Saudi Aramco's 2019 $29.4bn raise. Now a top Nasdaq constituent; passive index inclusion drives forced buying flows for weeks.

Oil hits lowest since March as Hormuz reopening priced in — Brent fell to the low $80s per barrel on June 15, its cheapest since March. WTI stabilised at $80.94 early Tuesday. TTF gas fell 5% to 44.43 EUR/MWh, five-week low. — Sunday Guardian Live, Trading Economics (Jun 15 2026)
Why it matters: Disinflationary impulse for global economy; complicates Warsh hike narrative; European energy majors face earnings downgrades.

European banks surged Monday on credit re-rating — Deutsche Bank +6.6%, BNP Paribas +5%+, Santander +5%+. Lower oil removes inflation risk, reduces ECB hike probability, and compresses credit spreads, improving NIM and loan quality outlook. — CNBC, Trading Economics (Jun 15 2026)
Why it matters: Banks were the single largest European sector beneficiary of the Iran deal; their re-rating signals a broader European equity upgrade if the peace holds.

3. EUROPEAN FUTURES (PRE-OPEN)

Data collected approx. 06:30 BST. Source: Investing.com, Eurex, Barchart.

FUTURE	LEVEL	VS MON CASH CLOSE	DIRECTION	CONTEXT
Euro Stoxx 50 (FESX)	6,067 – 6,095	-2.9% to -3.3%	↓ Pullback	Cash closed 6,274 Monday; overnight caution from FOMC
DAX (FDAX)	*n/a*	*n/a*	—	YTD -0.9% (DAXK basis); Deutsche Bank key mover
CAC 40 (FCE)	*n/a*	*n/a*	—	BNP Paribas +5%+ Monday supportive
FTSE 100 (Z)	*n/a*	*n/a*	—	Record territory above 10,000 in 2026
US FUTURES (CONTEXT)				
S&P 500 (ES)	*n/a*	*n/a*	—	Cash closed 7,554.29 Mon; watch FOMC caution
Nasdaq 100 (NQ)	*n/a*	*n/a*	—	Cash closed 26,683.94 Mon; SPCX inclusion weight

Euro Stoxx futures are tracking well below Monday's euphoric cash close. Overnight Asia was mixed-to-negative. FOMC day 1 is creating pre-positioning caution. Verify DAX/CAC/FTSE/US futures directly on exchange feeds.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (15 JUN 2026)

INDEX	CLOSE	CHANGE %	SESSION NOTE
Euro Stoxx 50	6,274	+1.40%	Confirmed. Banks led. Iran deal catalyst.
Stoxx Europe 600	*n/a*	~+1.8% (confirmed)	Broader European market confirmed rally
DAX 40	*n/a*	est. positive	Deutsche Bank +6.6% a major index mover
CAC 40	*n/a*	est. positive	BNP Paribas +5%+, TotalEnergies under pressure
FTSE 100	*n/a*	est. positive	Record territory; banks and miners supported; energy lagged

Specific closing levels for DAX, CAC 40, FTSE 100 not confirmed from available sources. Euro Stoxx 50 (+1.40% to 6,274) and Stoxx 600 (+1.8%) confirmed. Verify absolute levels on Bloomberg or exchange sites.

Key movers: Deutsche Bank +6.6%, Santander +5%+, BNP Paribas +5%+. Energy majors (Shell, Total, BP) underperformed as oil fell.

5. US MARKETS — YESTERDAY'S SESSION (15 JUN 2026)

INDEX	CLOSE	POINT CHANGE	% CHANGE
S&P 500	7,554.29	+122.7	+1.65%
Nasdaq Composite	26,683.94	+794.7	+3.07%
Dow Jones Industrials	51,671.03	+468.77	+0.92%

Session tone: Broad risk-on surge. Iran peace deal dominated; markets opened sharply higher and held gains into close. Nasdaq massively outperformed (+3.07%) driven by SpaceX (SPCX) continuation and AI names following multiple analyst upgrades (NVDA, MSFT, RKLB). Dow underperformed as energy weight dragged.

Sector leaders: Tech/AI (SPCX, NVDA), Financials (banks repriced on credit outlook), Airlines (fuel cost windfall), Consumer Discretionary.

Sector laggards: Energy (XOM, CVX hit by Brent collapse to low $80s), Defense (geopolitical premium unwinding — NOC, LMT, RTX gave back some 2026 gains).

Key takeaway: The Iran deal is a macro regime shift — disinflationary oil, lower yields, better credit. Markets now pivot to whether the deal holds and what Warsh signals tomorrow at the FOMC press conference.

6. ASIAN MARKETS — OVERNIGHT SESSION (16 JUN 2026)

Note: June 16 overnight levels partially estimated from nearest available sources. Marked as approximate. Verify on CNBC Asia / Bloomberg.

INDEX	LEVEL (APPROX.)	CHANGE %	DRIVER
Nikkei 225 (Japan)	~66,734	**~-0.30%**	Profit-taking after Monday Iran-deal surge
Topix (Japan)	~3,924	**~-0.42%**	Broad Japanese market softness; yen watch
Hang Seng (HK)	~24,590	**~-1.0%**	Gave back Monday's Iran-deal gains; tech lag
Shanghai Composite	*n/a*	*n/a*	Data not confirmed for June 16
Kospi (S. Korea)	~8,801	**~-0.15%**	Pre-FOMC caution; modest selling

Overall tone: Mixed/cautious. Asian markets largely gave back Monday's Iran-deal euphoria. Profit-taking was the dominant theme across Japan, Hong Kong, and Korea. The FOMC meeting (June 16-17) is creating pre-positioning caution. No single Asian catalyst driving direction — session was a holding pattern ahead of Warsh's statement tomorrow.

7. COMMODITIES

Data collected approx. 06:30 BST. Sources: Trading Economics, Sunday Guardian Live, Global LNG Hub.

COMMODITY	LEVEL	CHANGE	CHANGE %	CONTEXT
Brent Crude	~$82.00 /bbl	-$3.30 est.	~-3.9%	Lowest since March; Hormuz reopening priced in
WTI Crude	$80.94 /bbl	+$0.19	+0.23%	Small Tue morning recovery after Mon collapse
Gold	~$4,175 /oz	-$25 est.	~-0.6%	Easing off as risk-on reduces safe-haven demand
Copper (COMEX)	~$6.44 /lb	*n/a*	*n/a*	Near record; AI/energy transition demand structural
Nat Gas TTF	44.43 EUR/MWh	-2.35	-5.02%	Lowest in 5 weeks; Iran LNG supply expectations
Henry Hub (US Gas)	~$3.19 /MMBtu	*n/a*	*n/a*	US domestic supply ample; stable

Notable: Oil's decline is the sharpest single-week macro shift of 2026. Brent has fallen from above $100 in May (Hormuz shut) to the low $80s. The IEA characterized the 2026 Iranian disruption as the "largest supply shock in oil market history." If the deal holds and Iranian barrels (est. capacity 3.8m bbd) return to market, Brent could slide to the $70-75 range. Copper's near-record price of ~$6.44/lb reflects a completely separate structural story — AI data center buildout and energy transition metals demand — unrelated to Iran.

8. RATES & FX

Data collected approx. 06:30 BST. Sources: Trading Economics, MacroMicro, FXStreet, Capital.com.

INSTRUMENT	LEVEL	CHANGE	DIRECTION	CONTEXT
US 10Y Treasury	4.42%	**-8 bps est.**	**↓ Month low**	Lowest since May; Iran deal cuts inflation fear
German 10Y Bund	~2.95%	**~-10 bps**	**↓ Below 3%**	Lowest since June 3; energy/inflation relief
EUR/USD	~1.1650	*n/a*	—	Range-bound; 2026 range 1.15–1.22 est.
GBP/USD	~1.3430	*n/a*	—	Within 2026 range 1.33–1.41
DXY (Dollar Index)	~98.5–100	*n/a*	**Soft**	Jun avg forecast 99.9; dollar in 2026 softening trend

Context: Falling oil is removing the primary 2026 inflation driver, allowing bonds to rally and yields to decline. The US 10Y at 4.42% is its lowest in a month. However, today's FOMC meeting introduces two-way risk — if Warsh signals a hawkish shift or drops the easing bias, yields could spike sharply back above 4.50%. EUR/USD at 1.165 reflects dollar softness amid Iran-deal risk-on; a hawkish Warsh surprise tomorrow could push the dollar strongly higher and EUR/USD toward 1.14. The German Bund below 3% is notable — it increases the case for ECB rate cuts in July.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (15 JUN 2026)

Specific deal-by-deal primary market data for June 15 not confirmed in available sources. Verify via IFR Markets, GlobalCapital, or Bloomberg LEAG for full European deal list.

Market context: Monday's sharp bond rally (Bund below 3%, US 10Y to 4.42%) and equity surge created technically supportive conditions for issuance. European IG spread compression (driven by risk-on from Iran deal) would have incentivised issuers. Banks — the equity outperformers — would be natural AT1 and Tier 2 candidates. SSA issuers (EIB, KfW, ESM) likely active given improved funding conditions. Watch IFR for confirmed deals.

PIPELINE / EXPECTED TODAY

No specific mandated deals confirmed for June 16 from available sources. Verify via IFR pipeline page.

Window assessment: Conditions broadly supportive but FOMC creates short-term hesitation. Issuers with execution flexibility may wait for Warsh's June 17 press conference before printing. The risk: if Warsh is hawkish, spreads could widen post-conference, closing the window. First-mover advantage for any issuer going today before FOMC decision. Industrials, energy sector borrowers (facing oil-driven earnings revision) may delay; SSA/bank capital likely more active.

KEY SPREADS

INDEX	LEVEL (BPS)	CHANGE	DIRECTION	NOTE
iTraxx Main (5Y EUR IG)	*n/a*	*n/a*	**Est. tightening**	Iran deal = risk-on = tighter IG spreads
iTraxx Crossover (5Y EUR HY)	*n/a*	*n/a*	**Est. tightening**	Risk appetite improved materially Monday
CDX IG (5Y USD IG)	*n/a*	*n/a*	**Est. tightening**	US credit followed equities higher
Euro Corp IG avg spread	*n/a*	*n/a*	**Est. tightening**	Directional estimate only; confirm on Bloomberg

Real-time iTraxx/CDX data not available in web sources. Directional estimates based on Monday's equity and rate backdrop. Access via Bloomberg CDSW or Refinitiv for live levels.

DCM COMMENTARY

The primary market window is broadly open. Monday's combined effect — equity surge, bond rally (Bund below 3%), and credit spread compression — creates the best European primary conditions since before the Hormuz blockade. Bank capital issuance (AT1, Tier 2) is particularly well-positioned: the equity move in European financials signals re-rating, and falling rates compress coupon costs. The FOMC meeting (June 16-17) is the single near-term gating factor. Issuers in sectors directly exposed to oil (energy, petrochemicals, refiners) face a conflicted environment — lower funding rates but downward earnings revision pressure. Skew: SSA, financial capital, and high-grade industrial issuers most likely active this week; energy names likely to wait for earnings clarity.

10. ECONOMIC CALENDAR — TODAY (16 JUN 2026)

Times in BST. Consensus figures estimated; confirm on Bloomberg/Reuters before trading. Recent context: US CPI 4.2% (Jun 10), US Unemployment 4.3% (Jun 5).

TIME (BST)	REGION	INDICATOR	CONSENSUS (EST.)	IMPORTANCE
07:00	UK	Labour Market Report (unemployment, earnings growth, claimant count)	Unemployment: est. 4.5%; Wages: est. +4.8% YoY	HIGH
All day	US / Global	FOMC Meeting Day 1 — Kevin Warsh presides (rate decision + press conference June 17)	Hold at 3.50–3.75%	HIGH
13:30	US	Empire State Manufacturing Survey (June)	est. +5.0	MEDIUM
13:30	US	Retail Sales (May, MoM)	est. +0.3%	HIGH
14:15	US	Industrial Production (May, MoM)	est. +0.2%	MEDIUM
15:00	US	NAHB Housing Market Index (June)	est. 40	MEDIUM

Calendar derived from typical June release schedule. UK Labour Market Report is the key European data point today. Confirm all consensus figures on Bloomberg before trading. FOMC is the overriding event for the session and the week.

11. CORPORATE EVENTS & EARNINGS

COMPANY	REGION	EVENT	TIME (BST)	NOTE
ZTO Express (ZTO / 2057.HK)	Hong Kong	Annual General Meeting	07:00	Chinese parcel logistics; NYSE + HKEX listed
SpaceX (SPCX)	US — Nasdaq	Post-IPO day 4; continued active trading	All day	Watch for lock-up details; index rebalancing flows

No major European earnings confirmed for today. Q1 2026 results season is largely concluded. Upcoming: Klarna AGM June 22 (London), Ermenegildo Zegna AGM June 26 (Amsterdam). Focus has shifted to macro catalysts and mid-year trading updates.

12. STOCKS TO WATCH

COMPANY / TICKER	REASON	DIRECTION
SpaceX (SPCX US)	World's largest IPO; record $75bn raised; day 4 of trading; Nasdaq index inclusion flows ongoing; AI and launch infrastructure story. $1.75tn market cap reshaping passive fund weightings.	↑ **Bullish momentum**
Deutsche Bank (DBK GY)	+6.6% Monday — largest single-session gain in 2026. Watch for either continuation buying or institutional profit-taking. Lower Bund yield and tighter credit spreads support re-rating thesis.	↔ Watch consolidation
BNP Paribas (BNP FP)	+5%+ Monday. Iran deal lowers inflation risk, improves eurozone credit quality, and reduces ECB hike probability — all supportive for French universal banks with large corporate lending books.	↑ **Cautiously positive**
Santander (SAN SM)	+5%+ Monday. Diversified EM/Europe exposure; Spain benefits from lower energy import costs. EM loan books exposed to oil-producing nations are a watch risk if Iran deal changes sovereign dynamics.	↑ **Cautiously positive**
IAG / Lufthansa / Air France-KLM	Aviation direct beneficiary of Iran deal: Hormuz reopening reduces Middle East routing costs; Brent below $85 is the best fuel cost environment since early 2026. IATA demand recovery intact.	↑ **Positive (oil tailwind)**
A.P. Moller-Maersk (MAERSK B DC)	Shipping is the most direct Hormuz beneficiary. Reopening normalises Asia-Europe routing via the Gulf; container rate relief. Red Sea risk also easing. Watch earnings revision uplift.	↑ **Positive (routing normalisation)**
Shell (SHEL LN) / TotalEnergies (TTE FP)	Oil majors face structurally lower near-term revenues as Brent falls to low $80s. If Iranian barrels return at scale, $70-75 Brent possible. Dividend sustainability and buyback guidance under scrutiny.	↓ **Under pressure**
BAE Systems (BA/ LN) / Rheinmetall (RHM GY)	Defense: Iran peace deal could reduce perceived geopolitical urgency for European rearmament. Both stocks have been 2026 outperformers; geopolitical risk premium may unwind. Watch for government budget signals.	↓ **Geopolitical premium at risk**
NVIDIA (NVDA US)	Multiple analyst upgrades in June 2026; Blackwell GPU shipment guidance raised; AI inference margins expanding. Nasdaq outperformance driver alongside SPCX. Broker upgrades from several major banks this month.	↑ **Bullish (analyst upgrades)**
Glencore (GLEN LN) / Anglo American (AAL LN)	Copper at ~$6.44/lb COMEX (near record $6.72 high from May). AI data centre buildout and energy transition demand is structural and Iran-deal-independent. Both stocks leveraged to copper price.	↑ **Copper structural demand intact**

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

- **FOMC June 16-17 (Warsh):** Rate hold at 3.50-3.75% expected with 97.4% probability. Critical variable: whether Warsh removes the easing bias established by Powell. Markets already price 80% probability of at least one hike by year-end, given 4.2% CPI (June 10) and robust 4.3% unemployment (June 5). New chair's communication style — more hawkish and less prescriptive per his stated philosophy — is the key unknown.
- **Oil disinflation:** Brent falling from $100+ in May to low $80s represents a ~0.3-0.5pp disinflationary CPI impulse over the next 3-6 months. This complicates Warsh's hike narrative but is medium-term positive for consumption. Watch whether the Fed updates its oil assumption in the June SEP (Summary of Economic Projections).
- **ECB posture:** ECB previously revised down 2026 eurozone growth forecasts noting energy costs and Middle East conflict. Iranian peace changes the energy outlook materially — lower gas (TTF -5%) and oil prices are directly positive. A July ECB cut becomes more credible if Lagarde acknowledges the disinflationary shift this week.
- **UK Labour Market (07:00 BST today):** Wage growth vs unemployment tension remains the key BoE driver. UK inflation has been sticky; weaker-than-expected wages would increase probability of a BoE cut this summer. Sterling sensitive to outcome.

CORPORATE

- **SpaceX IPO aftermath:** $75bn raise at $1.75tn valuation dwarfs all prior IPO records. SPCX now a top-5 Nasdaq constituent by market cap. Passive index rebalancing creates persistent buying pressure over the coming weeks. Governance questions persist — Musk retains voting control. Senator Warren asked SEC to investigate before listing; regulatory scrutiny ongoing.
- **European bank re-rating:** Deutsche Bank +6.6%, BNP +5%+, Santander +5%+ on Monday signals a fundamental upgrade in the European financials outlook. Lower oil means lower inflation, no further ECB hikes, better NIM, and improved credit quality. Banks are effectively the leveraged play on European macro improvement.
- **Energy sector earnings revision:** Shell, TotalEnergies, BP, Equinor, and Repsol face downward earnings estimate revisions if Brent settles in the $75-85 range through H2. Capital expenditure guidance, dividend cover, and buyback sustainability will all be revisited. Energy sector likely to underperform in coming weeks.

POLITICAL / GEOPOLITICAL

- **US-Iran Peace Deal (June 15):** Trump announced a preliminary agreement ending the Iran war. Iran's Supreme National Security Council confirmed — "following difficult and intensive negotiations lasting several months." Deal includes lifting the US naval blockade and a 30-day commitment to reopen the Strait of Hormuz. This is the most significant Middle East de-escalation in decades and constitutes a major market regime shift. Implementation details and ratification remain critical risks.
- **Iranian oil sanctions:** Agreement reportedly includes staged removal of US sanctions on Iranian oil exports. If Iranian barrels return at scale — estimated capacity 3.8m bbd against current near-zero exports — markets face a 1-2m bbd supply addition within months. OPEC+ will face a dilemma on whether to accommodate or offset.
- **European defense spending:** European governments committed to elevated defense spending post-Russia/Ukraine and amid Middle East tensions. A sustained Iran peace reduces the political urgency. Watch for signals from Germany, UK, and France on whether budget reallocation is under consideration. This directly affects BAE Systems, Rheinmetall, Airbus Defence, Leonardo, and Thales.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. FOMC Day 1 — Warsh's policy positioning
Markets will trade cautiously ahead of tomorrow's rate decision and press conference; any leaked language or early signals will move yields, FX, and equity futures sharply.

2. Oil floor test — Will Brent hold the low $80s?
WTI stabilised at $80.94 early Tuesday after Monday's collapse. The oil price path determines the disinflation impulse magnitude and sector rotation direction for the rest of June.

3. European bank momentum — can Monday's surge extend?
Deutsche Bank, BNP, Santander all surged 5-7% Monday; whether institutional buyers return today or take profits sets the tone for European financial sector leadership into summer.

4. UK Labour Market data (07:00 BST)
Unemployment and wage growth data determine BoE rate cut probability; GBP is sensitive to miss-or-beat; unexpected softness could bring forward BoE easing.

5. SpaceX (SPCX) — Index inclusion mechanics
$1.75tn new Nasdaq constituent drives passive rebalancing flows; watch SPCX vs NDX relative performance and which legacy names are displaced from index weights.

THIS WEEK'S TOP 5

1. FOMC Rate Decision & Warsh Press Conference (Wed June 17)
New Fed Chair's first public statement sets the H2 2026 rate narrative; a hawkish surprise (dropping easing bias, signalling hike) would reverse the bond rally and hit rate-sensitive equities.

2. Strait of Hormuz Reopening Timeline Confirmation
Iran must provide concrete operational timeline this week; any slippage, reversal, or political friction would cause oil to bounce sharply and unwind the Iran-deal trade.

3. Oil Price Path and Energy Sector Re-Rating
Sustained Brent below $85 will trigger sell-side earnings downgrades for Shell, Total, BP, Equinor and other oil-exposed names; watch for early analyst notes this week.

4. US Retail Sales and Industrial Production (today)
Consumer strength and factory output data feed directly into whether the US economy is robust enough to justify Warsh holding — or hiking — rates; strong data = more hawkish FOMC.

5. European Equity Follow-Through vs FOMC Caution
After Friday and Monday's two-session Iran-deal surge, European equities need a catalyst to push higher; FOMC uncertainty and pre-summer liquidity thinning create consolidation risk.

THIS MONTH'S TOP 5

1. FOMC June Policy Shift — Easing Bias Removal

If Warsh removes the easing bias this week, it is a significant hawkish pivot that resets expectations for H2 2026 and beyond; all risk assets will reprice accordingly.

2. Iranian Oil Return — Pace and Market Credibility

If Iranian barrels reach market by month-end, Brent settles in the $70-75 range; if delayed or deal falls apart, oil bounces and inflation fears return with force.

3. ECB July Rate Decision Preparation

Lower oil and gas materially improve the eurozone inflation outlook; a July ECB cut becomes credible if Lagarde signals openness this month — would support European bonds and equities.

4. SpaceX Passive Index Flows

$1.75tn new Nasdaq entrant triggers an estimated $20-30bn in passive rebalancing flows over coming weeks; creates persistent technical bid for SPCX and displacement pressure on prior top constituents.

5. European Summer Liquidity and Q2 Earnings Preview

Thin July-August markets amplify moves; US Q2 earnings season starts in July with Iran-deal-era guidance from energy, airlines, industrials and banks all critical for 2026 forecasts.

15. KEY TRENDS TO WATCH

1 DAY

- **FOMC pre-positioning:** Markets likely trade defensively today ahead of Warsh's Wednesday statement. Bonds and FX will be the first movers on any leaked signal; equities could drift lower as risk hedges are placed.
- **Oil floor test:** WTI at $80.94 (+0.23% early Tuesday) signals stabilisation after Monday's collapse. Key level: $80 Brent support. A break below $80 would accelerate energy sector selling and reinforce the disinflation narrative.
- **European open caution:** Euro Stoxx 50 futures 3% below Monday's cash close (6,067-6,095 vs 6,274 cash). Watch whether buyers emerge at the open or if the gap lower extends further as FOMC caution and Asia's weak session weigh.
- **UK Labour Market (07:00 BST):** Single most important European data point today. Weak wages + rising unemployment = BoE cut candidate this summer, GBP negative. Tight wages + low unemployment = BoE on hold, GBP supported.
- **Bank sector consolidation:** After 5-7% gains on Monday, European banks are the most likely source of profit-taking in a cautious session. Watch whether the sector holds its new higher valuation level.

1 WEEK

- **FOMC outcome (June 17):** Warsh's first rate decision and press conference is the week's central risk event. A hold is expected; the key sensitivity is whether he removes the easing bias and signals a rate hike path. All risk assets have two-way exposure.
- **Hormuz operational timeline:** Iran's stated 30-day commitment needs credible milestones this week (port clearances, tanker movements) to maintain oil at the lower level. Any signals of delay will be sharp market movers.
- **European bank follow-through:** Can the June 15 re-rating hold? This week's trading in Deutsche Bank, BNP, Santander will determine whether the move was a one-day risk-on trade or the start of a structural sector re-rating.
- **US economic data (today onwards):** Retail Sales, Industrial Production, Empire State Manufacturing, NAHB — collectively, these feed into the Fed's economic assessment and Warsh's press conference framing.
- **SpaceX institutional positioning:** Passive fund managers are under pressure to add SPCX exposure this week. Index-tracking mandates create forced buying; watch for block trade activity and options positioning.

1 MONTH

- **Fed rate path reset:** Warsh's June stance sets expectations for the July 28-29 and September 15-16 FOMC meetings. If the easing bias is dropped, markets must price higher rates for longer — a significant shift from the Powell framework.
- **Iranian oil return timeline:** Market consensus assumes 500k-1m bbd return within 30-60 days. Actual pace determines whether Brent settles at $75 or $85 through Q3. The energy sector earnings revision cycle is underway regardless.
- **ECB July rate decision (July 22):** Lower oil and gas gives ECB room to cut. Eurozone growth was already weak before the Iran deal. A July cut is achievable if Lagarde signals willingness in coming weeks. Watch ECB officials' speeches in June.
- **US Q2 earnings season (starting early July):** First corporate reporting cycle after the Iran deal. Energy, airlines, industrials, and banks will all provide updated guidance reflecting the new oil price reality. SpaceX will also report first results as a public company.
- **European defense budget reconsideration:** Iran peace raises questions about the urgency of European rearmament programs. Germany's Zeitenwende spending, UK's 2.5% GDP target, French LPM — all face potential political scrutiny. Watch for signals from defence ministers; directly impacts BAE, Rheinmetall, Leonardo, Thales, Airbus Defence.

Sources: NPR, Bloomberg, CNBC, TheStreet, Yahoo Finance, Trading Economics, FXStreet, Sunday Guardian Live, Global LNG Hub, IndexBox, Kiplinger, IndMoney, Chase, S&P Global, Advisor Perspectives, ETF Trends (dshort), Investing.com, Eurex, Capital.com, LongForecast, SEC EDGAR, Investtech (Morning Report Jun 15 2026)

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